

Gigabyte Technology (2376 TT)

Share price (14 Aug): TWD397.50

12-mth rating: **Buy (1)**

Information Technology: Taiwan

2Q26 results: beat on operating leverage

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Summary: Gigabyte released its 2Q26 results after market hours on 14 August. Gigabyte's 2Q26 earnings came in at TWD6.6bn (EPS: TWD9.9), which was 42% and 19% higher than our and the street's expectations, respectively. 2Q26 sales came in at TWD144.2bn (up 37% QoQ and 41% YoY), 16% higher than our estimate on better-than-expected enterprise AI server demand. However, gross margin decreased 2.4pp QoQ to 9.6%, 0.6pp lower than the street's expectation, mainly due to a higher-than-expected contribution from AI server revenue. Operating margin similarly dropped 1.4pp QoQ to 5.6%, following the gross margin trend but partially offset by the elevated operating leverage on its expanded top line. Net profit was boosted by a higher-than-expected FX gain of TWD885m. Looking into 3Q26, we expect the revenue contribution from Neo Cloud clients to become more significant, and therefore we believe the top line will continue to grow through 3Q26. Moving into 2027, we anticipate Neo Cloud demand will strengthen further, driven by increased procurement of Nvidia AI servers from these clients. Lastly, the company elevated its 2026 capex outlook from TWD2.3-2.5bn to TWD2.8-3.0bn. To support this, Gigabyte has announced the issuance of 40-50m new shares, implying a dilution of c.7-7.5%. We are currently reviewing our model and will provide an update in due course. We have a Buy (1) rating on Gigabyte with a 12M TP of TWD422, based on a target PER of 15x applied to our 1-year-forward EPS forecast. Key risk: earnings impact from Nvidia's business model change.

Gigabyte' 2Q26 results highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	144,214	37%	41%	124,394	16%	132,587	9%
Gross profit	13,873	10%	44%	12,118	14%	13,531	3%
Gross margin (%)	9.6%			9.7%		10.2%	
Operating profit	8,120	10%	53%	6,272	29%	7,171	13%
Operating margin (%)	5.6%			5.0%		5.4%	
Pre-tax profit	9,451	34%	115%	6,442	47%	7,418	27%
Net profit	6,606	25%	117%	4,649	42%	5,532	19%
EPS (TWD)	9.86	25%	117%	6.94	42%	8.26	19%

Source: Company data, Daiwa forecasts, Bloomberg

What's the impact:

Below is our first take from Gigabyte's 2Q26 results. We are currently reviewing our model and will provide an update in due course.

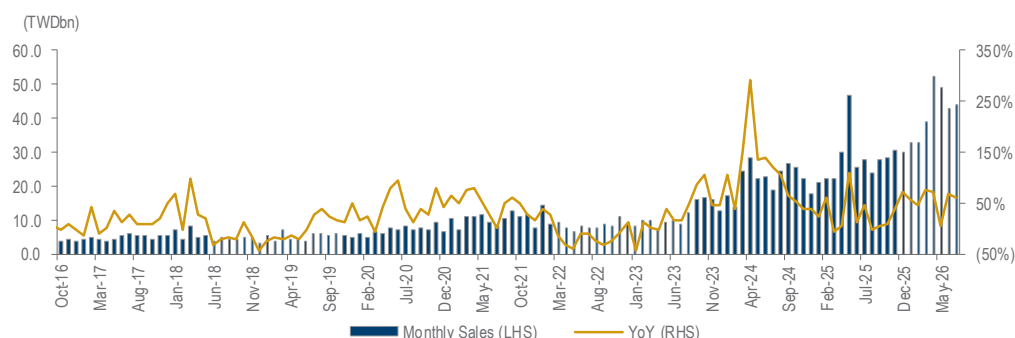
- **2Q26 results beat on sales and FX gain.** Gigabyte's 2Q26 earnings came in at TWD6.6bn (EPS: TWD9.9), which was 42% and 19% higher than our and the street's expectations, respectively. 2Q26 sales came in at TWD144.2bn (up 37% QoQ and 41% YoY), 16% higher than our estimate on better-than-expected enterprise AI server demand. However, gross margin decreased 2.4pp QoQ to 9.6%, 0.6pp lower than the street's expectation, mainly due to a higher-than-expected contribution from AI server revenue. Operating margin similarly dropped 1.4pp QoQ to 5.6%, following the gross margin trend but partially offset by the elevated operating leverage on its expanded top line. Net profit was boosted by a higher-than-expected FX gain of TWD885m.

Gigabyte: Jul-26 monthly sales (TWDbn)

Company	Ticker	Price	Rating	Jul Sales	MoM	YoY	3Q26E Sales	QoQ	YoY	Achieved %	PER		3-Yr Range	Release Date	Consensus	Consensus Achieved %
											2026E	2027E				
Gigabyte	2376 TT	344.0*	Buy	44.2	3%	60%	131.2	-9%	64.89%	34%	11.6	10.0	3-26x	7-Aug	127.7	35%

Source: Company, Daiwa forecasts. * as of reporting date

Gigabyte: monthly revenue trend and YoY growth



Source: Company

- Business outlook.** Gigabyte reported July sales at TWD44.2bn (up 3% MoM and 60% YoY), which achieved 34% of our 3Q26 sales forecast (TWD131.2bn; down 9% QoQ but up 65% YoY) and 35% of the Bloomberg consensus of TWD127.7bn. With July revenue accounting for 23-35% of Gigabyte's 3Q revenue over the past five years, the run-rate is tracking ahead of our expectation. Looking into 3Q26, we expect the revenue contribution from Neo Cloud clients to become more significant, and therefore we believe the top line will continue to grow through 3Q26. Moving into 2027, we anticipate Neo Cloud demand will strengthen further, driven by increased procurement of Nvidia AI servers from these clients. Lastly, the company elevated its 2026 capex outlook from TWD2.3-2.5bn to TWD2.8-3.0bn. To support this, Gigabyte has announced the issuance of 40-50m new shares, implying a dilution of c.7-7.5%. We are currently reviewing our model and will provide an update in due course.

What we recommend:

We have a Buy (1) rating on Gigabyte with a 12M TP of TWD422, based on a target PER of 15x applied to our 1-year-forward EPS forecast. Key risk: earnings impact from Nvidia's business model change.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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